

security type. The reason may be either because the companies are in bad financial condition or because the common stock is low-priced in appearance only and actually represents a full or excessive commitment in relation to the size of the enterprise. The latter is preponderantly true of *new* security offerings in the low-priced range. In such cases, a *pseudo*-low price is accomplished by the simple artifice of creating so large a number of shares that even at a few dollars per share the total value of the common issue is excessive. This has been true of mining-stock flotations from of old and was encountered again in the liquor-stock offerings of 1933 and in the airplane issues in 1938–1939.

A *genuinely* low-priced common stock will show an aggregate value for the issue which is small in relation to the company's assets, sales and past or prospective profits. The examples shown herewith will illustrate the difference between a "genuine" and "pseudo-low" price.

Item	Wright-Hargreaves Mines, Ltd. (gold mining)	Barker Bros. Corp. (retail store)
July 1933:		
Price of common stock	7	5
Number of shares outstanding	5,500,000	148,500
Total value of common	\$38,500,000	\$ 743,000
Preferred stock at par		2,815,000
Preferred stock at market		500,000
Year 1932:		
Sales	\$ 3,983,000	\$ 8,154,000
Net earnings	2,001,000*	703,000(d)
Period 1924–1932:		
Maximum sales	\$ 3,983,000	\$16,261,000
Maximum net earnings	2,001,000*	1,100,000
Maximum earnings per share of common	\$0.36*	\$7.59
Working capital, Dec. 1932	\$ 1,930,000	\$ 5,010,000
Net tangible assets, Dec. 1932	4,544,000	7,200,000

* Before depletion.

The Wright-Hargreaves issue was low-priced in appearance only, for in fact the price registered a very high valuation for the company as